manufacturing, and trade suggest that there has been a marked change in the configuration of the world economy – visible by the following points:

- Sustained growth of a number of emerging economies, especially the BRICS economies, has resulted in an increase in their share in the global GDP.
- The value addition in the world economy has been moving away from advanced countries towards what have been termed emerging economies. The decline in share is particularly marked in the case of the EU.
- The shift towards Asia has been significant and, within Asia, away from Japan to China and India.
- The *fivefold* increase in share of China in the global GDP has placed it as the second largest economy in the world. The increase in share of India, though less dramatic, is nevertheless of an order that places her as the ***fourth*** largest economy in PPP terms.
- The reduction in share of advanced economies, particularly from 2005, has been accentuated by the slowdown that followed the 'sub-prime crisis' in the United States, the eurozone crisis in 2010, and the near stagnation in Japan for nearly two decades on the one side and the significantly higher rate of growth in low and middle income countries, particularly the large countries like India and China, on the other.
- From the perspective of whether there has been a 'catch up' in per capita incomes across a larger set of countries, it is seen that the 'per capita income' (at PPP constant 2005 dollars) of 131 countries from 1980 to 2009 continued to increase for most of the period since the mid-1980s, except in the last two-three years.

The major changes in the *dynamics of the Indian economy* have been as given below:

- India has achieved faster growth from the 1980s – not only was this growth higher compared to its own past, it was also much faster than that achieved by a large number of countries. Between 1980 and 2010, India achieved a growth of 6.2 per cent, while the world as a whole registered a growth rate of 3.3 per cent.